

CWCO pitch deck

PITCH — CWCO — VERDICT

PROPOSED — PENDING ADJUDICATION — do not buy here: no position at \$29.75; reopen only at ≤\$25 or on a named trigger below.

What we believe

Consolidated Water is a good, boring business trading at a price that already assumes it is a good, boring business. It runs seawater-desalination plants and a regulated retail water utility on Grand Cayman, plus water plants in the Bahamas, a US engineering/manufacturing arm (Aerex, Fort Pierce FL), and a services book. It carries \$132.6M of cash against no meaningful debt — about \$8.11 per share of the \$29.75 price — and it pays a dividend.

What we believe, specifically and narrowly:

1. **The nine-year Cayman license overhang is genuinely resolved.** On 2026-06-24 the company signed a 25-year exclusive retail license, effective 2026-08-01, with tiered tariffs and an annual adjustment each July 1. That is a real reduction in the range of outcomes for the single most important asset.
2. **The price we would pay for that certainty is a permanently lower rate.** The company's own press release illustrated roughly a 6.5% revenue reduction (~\$2.1M) on recast historical volumes. So the overhang was removed and the earnings power was cut at the same time — roughly offsetting.
3. **The business is currently earning below its own run-rate, and part of that is temporary.** Aerex (manufacturing) revenue fell 63% in the first half — that segment is project-lumpy and has been much larger before.
4. **Therefore: this is a fair-to-slightly-rich utility, not a dislocation.** We want to own it, but at \$25 or lower, not at \$29.75.

The original thesis — that a -24.6% drawdown represented the market ignoring good news — is dead. Both benches killed it, and we are reporting that plainly rather than dressing it up.

What the market believes

The market believes almost exactly what we believe, which is the core problem.

There is **one** covering analyst. That analyst models FY26 revenue of about \$127.5M (roughly flat) and statutory EPS falling ~11% to \$0.91 ([Simply Wall St](#)). Our own independent build came to \$0.85–\$0.98. We reproduced the street's number without meaning to.

The tape says the same thing three times over:

Event	What we'd expect if it were mispriced	What actually happened
2026-06-24 (after close) — 25-yr license ends 9 years of uncertainty	Big up move	Next session, Jun 25: \$29.45 → \$29.08, -1.26%
2026-08-10 (after close) — Q2 print, EPS -23%, Aerex -63%	Big down move	Aug 11: +6.9% to \$32.32 — then it fully gave it back: \$30.05 by Aug 17, \$29.75 by Aug 28, below the pre-print close
Jun–Aug 2026 overall	Trend	Flat band, \$28.67–\$32.32

The market has read the license, read the rate cut, and looked through the Aerex trough. The stock's durable verdict on both events is *mildly negative*. That is a priced security, not an ignored one.

Why we might have edge

Honestly stated, the edge candidates are thin and none of them is load-bearing today:

- **Coverage.** One analyst on a \$476M-cap name means the price is not the product of a well-fed consensus machine. Thin coverage does not create value, but it does mean a genuine surprise would take longer to price. This is the only structural argument for watching the name at all.
- **Balance sheet.** \$132.6M cash = 28% of market cap, and the minority interest against it is only \$5.36M (1.1% of cap) — we attacked the cash-attribution and the attack failed, so the full \$8.11/share of net cash stands. Screens that use gross EV or ignore net cash will show this name as more expensive than it is.
- **Two unfunded call options we could size correctly if they ever fund.** The \$204M Kalaeloa (Hawaii) project has a limited notice-to-proceed authorizing **only \$6M** of long-lead equipment (2.9%), with construction “expected later in 2026 pending permits.” And Aerex's trough is a trough, not a run-rate. If either converts to real, disclosed, dollar-quantified backlog, we would be early — because at that moment the sole analyst's flat model becomes wrong.

Where we do NOT have edge: we have no number that differs from the published number and no mechanism that would make one differ. That is the honest state of the file.

Why it might be priced in

It is priced in, and here is the arithmetic that says so.

- Market cap \$476.4M on 16.01M diluted shares; cash \$132.6M; minority interest \$5.36M → **enterprise value ≈ \$346.5M.**
- Operating income, first half 2026: **\$7.18M vs \$9.89M** a year earlier, **-27.4%**. FY25 was \$18.36M.
- First half has historically been ~54% of the full year, so doubling the half overstates it. Post-rate-reset run-rate operating income ≈ **\$13.3M** (that is red's \$14.4M corrected downward by the blue

bench, against our own bull case).

- **\$346.5M / \$13.3M $\approx$ 26x EV/EBIT** for operating income that is shrinking.
- Peers: Middlesex Water 23.7x, Artesian 14.5x. CWCO's trailing figure is 22.1x. So 26x forward is at or above the top of the peer band, not below it.
- At a defensible 18–22x plus net cash, fair value is **\$22–25**. Applying the desk's own documented tendency to set fair value ~13% too low lifts that to **\$25–28**. Even fully corrected in our favor, \$29.75 is **6–19% above fair**.

And the bull legs don't hold: - **The “normalize Aerex back to prior-year revenue” leg is not allowed.** The original brief correctly refused to credit a lumpy construction segment's peak as an annuity — then did exactly that for manufacturing. You cannot apply the rule to one segment and not the other. (Our red bench then made the mirror error by treating the *trough* half as the run-rate. The truth is a multi-year average, which is a range, not a point.) - **The retail annuity is shrinking, not flat.** The brief cited Q2 retail revenue +0.3% as proof the tourism-linked base was intact. The same release shows **first-half retail revenue \$17.2M, –4.5% year over year**. The quarter was selected; the half was not checked. - **Interest income was double-counted.** The brief assumed ~\$5.2M/yr on the cash pile. Actual first-half investment income was \$1.29M, i.e. ~\$2.6M/yr. Half.

What could go wrong

This section assumes the position we would actually take — a starter bought in the \$24–25 reopen band — and asks how it loses money.

Failure narrative 1 — “We bought a value trap at 20x.” (monitorable) We buy at \$25 because 20x post-reset operating income plus net cash is covered. Then the retail base keeps eroding: first-half retail is already –4.5%, and if that is *structural* (fewer connections, permanent Cayman tourism mix shift) rather than *weather*, the multiple doesn't compress — the E does. Operating income drifts from \$13.3M to \$11M, and \$25 becomes 24x again. We are then holding a shrinking utility with a dividend, waiting. *Tripwire*: Q3 (Nov 9) retail **gallons sold** — the volume line, not the revenue line. If gallons are negative year over year with the August 1 tariffs live, the weather story is falsified and we exit.

Failure narrative 2 — “The two call options never fund.” (monitorable) Kalaeloa stalls in permitting past 2027 and the \$6M long-lead authorization is all that ever gets spent; Aerex's book stays at trough because the municipal capex cycle it serves is deferred. We paid for optionality that expired unexercised. This is the highest-probability quiet loss: nothing dramatic happens, the stock sits at \$25–30 for two years, and we've funded a 2% dividend with dead capital. *Tripwire*: full notice-to-proceed with **CWCO's own disclosed dollar share and margin** in a filing, and Aerex booked backlog $\geq$ \$25M with named municipal counterparties in the 10-Q. Absence of both by the Q1 2027 print = thesis is not developing.

Failure narrative 3 — “Something happened on the island and we had no way to see it coming.” (NO MONITORABLE TRIPWIRE) Essentially the entire earnings base sits on one small island under one government under one newly-signed license. The loss modes here include: a hurricane or plant failure at Blue Hills/Windsor/West Bay; a Cayman political shift toward public ownership or

re-tendering at the first license review; the undisclosed annual rate-adjustment formula being applied adversely on a July 1; a Bahamas government counterparty payment problem. We would learn about any of these from an 8-K **after** the price moved.

We cannot instrument this. Our satellite tooling was tried and came back **UNCHECKABLE**: every Grand Cayman facility geocodes to a single island centroid and Fort Pierce to a town center, so plant-thermal and buildout detectors have nothing to look at without hand-drawn parcel polygons we do not have. There is no permit feed for Cayman, no app, no customs series, no litigation docket.

Unknown-unknown class, named: single-jurisdiction sovereign-and-physical concentration risk on a non-instrumented island. This is the class where we have no sensor, no proxy series, and no leading indicator — only the filing that arrives after the fact. It is not a tail we can hedge or watch; it is a tail we simply carry, and the size of the position is the only control we have over it.

The reflexive and structural leg — our own size, our own predicted flow, our own doctrine:

- **Liquidity is 2.4x worse than the brief claimed.** The brief said 116–151k shares/day. Vendor average is **63,201**. At our 1%-of-volume execution rail, that is roughly **632 shares/day** $\approx$ **\$16k/day at a \$25 price**. A \$50k starter is **~3 sessions** of patient limit work, not one. An exit in stress is the same math running the other way, into a thinner book. This is a name where our own footprint is a first-order cost, not a rounding error.
- **We would be bidding into a decline we ourselves forecast.** Our reopen band is $\leq \$25$ — 16% below spot. The only paths to \$25 are a bad Q3, a broad small-cap drawdown, or the retail erosion continuing. In every one of those, the reason the price reached our limit is a reason not to buy it. Our own rule against bidding into our own predicted flow applies directly here, and the discipline is: *the band must be reached by a mechanism we can name and dismiss*, not simply touched.
- **Two of our own doctrines pull opposite ways, and we are resolving it explicitly.** Our “clean court, minimum starter” default says a court that produces no named kill should still take a starter rather than sit flat. This court produced **four independent, novel kills** — that default does not apply. Against that, our conservative-fair-value correction lifts fair value to \$25–28, which means at \$25 we would be buying at the *bottom* of a corrected fair range, not below it. So even the reopen band is “fair,” not “cheap.” Sizing must reflect that: this is a starter, permanently, unless a funded catalyst appears.
- **The original reason this name was in the queue is gone.** CWCOW was enqueued as real-asset ballast — something that holds up when other things don’t. It fell $\sim 24\%$ *into* a real-asset melt-up, has a beta of 0.52 and a -10.9% 52-week return. It is an idiosyncratic small cap, not ballast. If we own it, we own it as a single-name utility bet and must not count it against any diversification role.

If this position loses money, the most likely reason will be that we paid a fair-to-full multiple for a business whose regulated retail annuity was quietly shrinking — the -4.5% half-year we almost didn’t check — while both of the growth legs we told ourselves were free options (Aerex normalization,

Kalaeloa) stayed unfunded, so the earnings never arrived to grow into the price, and our position was too illiquid to leave quickly once that became obvious.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Price is \$38.37, near 52-week high, only -1.5% off it	Cross-checked machine evidence pack against independent vendor close series	The evidence pack was wrong. Actual close \$29.75 on 2026-08-28; 52wk \$28.17-\$39.12; no session existed between Friday's close and the pack build, and a +29% gap with no news is not credible. Every statistic derived from that price (drawdown, % off low) was void	NO — our own machine pack failed. Both benches caught it independently and superseded it. New detector proposed so this cannot recur
Broker-verified tape	Attempted IBKR pull	Permission denied to all three benches. All prices in this deck are vendor-sourced, not broker-verified	NO — standing gap. Flagged, not papered over
"The license resolution was ignored — stock moved +0.03%"	Daily close series + release timestamp	Our red bench measured the wrong session. The release crossed after the close on Jun 24, so the tradeable day is Jun 25: -1.26%. Red also scored the Aug 11 +6.9% pop as the market's verdict; it fully reversed to below the pre-print close within 13 sessions (durable return -1.6%)	Corrected. Conclusion survives and is stronger — the durable reaction to both events is mildly negative
Post-reset operating income run-rate	XBRL company-concept pull + seasonality check	H1'26 op income \$7.18M (-27.4% YoY). Red annualized $\times 2 \rightarrow$ \$14.4M; blue showed H1 is 53.9% of the year historically $\rightarrow$ \$13.3M is the honest figure. A correction <i>against</i> our own bull case	Yes
Enterprise value / valuation	XBRL + share count + peer multiples	Cash \$132.6M, NCI \$5.36M, EV \$346.5M, ~26x forward EV/EBIT vs MSEX 23.7x / ARTNA 14.5x. Red asserted an 18-22x anchor without producing peers; blue supplied them and the anchor held	Yes
"Cash isn't really shareholders' — minority interests"	Attacked our own strongest support	NCI is \$5.36M $\approx$ 1.1% of market cap. The attack fails; full \$8.11/share net cash stands	Yes — attack dropped on the evidence
"Retail/tourism revenue line is flat" (the brief's own named refuting metric)	Q2 segment table, half-year column	Q2 alone +0.3%, but H1'26 retail \$17.2M, -4.5% YoY. The brief cited only the favorable period. Our red bench never checked it either — blue found it	NO — refuted at the half. This was the single most decisive miss by our own process
Interest income ~\$5.2M/yr on the cash pile	Q2 income statement	H1'26 investment income \$1.29M $\rightarrow$ ~\$2.6M/yr. The brief overstated it 2x	NO — brief error, corrected
Kalaeloa \$204M is backlog	Q2 release text	Limited NTP authorizes \$6M for long-lead equipment (2.9%), construction "pending permits." Red flagged this as	NO — not backlog

Claim	How checked	Found	Confirmed?
		an unverified coverage gap and left it; blue closed it — against the thesis	
\$2.1M / \$1.9M / \$0.6M rate-impact pro forma	EDGAR primary text of the license 8-K and its exhibit	The filed license discloses tiered rates, 25-year exclusivity, Aug 1 2026 commencement, and annual July 1 adjustments — but contains no 6.5% reduction, no pro forma, and no rate-of-return cap . Those figures exist only in the press wire	NO — press-release-only. Treated as unverified data, not resolved fact
Insider selling is a signal	Form 4 primary XML	2026-08-18: 1,900 shares at \$30.32, holder retains 200,408 — 0.9% of holdings . Routine (Form 4, SEC EDGAR ; source 8-K: EDGAR accession 0001104659-26-093477)	Yes — checked and dropped
Tradeable liquidity 116–151k shares/day	Vendor average + observed dailies	63,201 average , observed range 69k–138k. Brief overstated by ~1.5–2.4x	NO — brief error. Executability survives but is much tighter
Physical-asset verification via satellite	Ran thermal + buildout detectors	UNCHECKABLE — all Cayman sites collapse to one island centroid, Fort Pierce to town center. Would need parcel polygons we don't have	NO — blind spot, disclosed
Detector sweep completeness	Compared both benches' detector lists	Red skipped two entries (private-equity dividend-recap, census demographics) that blue ran and cleared. Also, this issuer carries a spurious “consumer virality” tag that fired four irrelevant consumer detectors — recommend removing it from the issuer's feature set	NO — process gaps, both logged
Q3 earnings date 2026-11-09	Filing cadence vs company PR	Derived from a data vendor, not confirmed by any company announcement . Consistent with the observed May 11 / Aug 10 pattern	NO — treat as approximate

PROPOSED ENTRY BANDS

Both courts say no entry at \$29.75. Current position: none. Current orders: none. Below are the **reopen bands**, taken from the benches' own arithmetic.

Reopen band (price): - ≤ \$25.00 — primary watch level. This is the red bench's \$24 trigger (20x post-reset operating income of \$13.3M, plus \$8.11/share net cash) raised by the desk's documented ~13% conservative fair-value bias. At \$25 we are at the *bottom of a corrected fair range* (\$25–28), not below it — so this is an entry price, not a bargain. - ≤ **\$24.00 — the unadjusted, uncorrected level.** Full starter only here. - **Between \$25 and \$29.75 — no action.** This band is fair-to-modestly-rich; there is nothing to defend.

Condition attached to the price band (this is binding, not advisory): the band must be reached by a mechanism we can name and dismiss — a market-wide small-cap drawdown, an index/tax-loss flow, or a print reaction we judge overdone. If \$25 is reached *because* first-half retail erosion continued or Aerex stayed at trough, the band does **not** trigger; the thesis was wrong and the price is right.

Reopen triggers (independent of price — any one re-courts the name immediately): 1. **Q3 print: retail gallons sold positive year over year** with the Aug 1 tariffs live. This falsifies the weather explanation and proves the annuity is intact. This is the single highest-value observation available. 2. **Full notice-to-proceed on Kalaeloa** with CWCO's **disclosed dollar share and margin** in a filing — converting \$204M from a \$6M permit-pending authorization into actual backlog. 3. **Aerex booked backlog ≥ \$25M with named municipal counterparties** in the 10-Q. This alone legitimately reopens the normalization branch that we refused above.

Sizing, if a band or trigger fires: - Starter only: \$50k–\$75k, roughly 0.3–0.5% of book. Not a full position at any price on the current file, because (a) even bias-corrected fair value is only \$25–28, (b) the ballast rationale that put this name in the queue is falsified, and (c) the island-concentration tail has no sensor. - **Execution: 3–5 sessions minimum.** At the 1%-of-volume rail on 63,201 shares/day, that's ~632 shares (~\$16k) per day at a \$25 price. Limit orders only. No market orders, ever, in this name. - **Adds:** only on trigger #1 or #2 above, not on price alone. A second \$50k tranche is authorized only after a confirmed gallons turn or funded Kalaeloa NTP. - **Exits/trims:** not applicable — no position. If entered: exit in full if Q4/Q1 retail gallons are negative year over year with tariffs live for two consecutive quarters, or if operating income run-rate falls below \$11M.

Catalyst dates: - 2026-11-09 — Q3 2026 results. UNCONFIRMED (derived from a data vendor; no company announcement names it). Consistent with the observed May 11 / Aug 10 cadence. Approximately 48 trading days out — no print-proximity concerns, no rush. - **2026-08-01 — new tariffs already in effect.** Q3 is therefore the *first* clean quarter under the new rates. This is why Nov 9 matters more than a normal print. - **July 1 (annual, first meaningful test 2027-07-01)** — the license's annual rate-adjustment date. The adjustment *mechanism* is disclosed in the filed exhibit; the actual formula and forward path are **not**. This is a scheduled unknown. - **Kalaeloa construction start — “later in 2026, pending permits.”** No date. Not schedulable.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 24.0 (deck-provisional: Unadjusted 20x post-reset EBIT + net cash floor; full starter authorized only here)
- filing watch: 10-Q,8-K until 2027-02-27 (deck-provisional: Q3 print: retail GALLONS SOLD YoY with Aug-1 tariffs live is the named falsification test for the weat)
- dated pack CWCO|2026-11-09: CWCO: Q3 2026 results - FIRST full quarter under the Aug 1 tariffs; vendor-derived date, no company PR names it (date confirmed=False)

- dated pack CWCO|2027-07-01: CWCO: First annual license rate adjustment under an undisclosed adjustment mechanism; date implied by the filed exhibit, magnitude unknowabl
- dated pack CWCO|2026-12-31: CWCO: Backstop check on Kalaeloa construction start, stated only as 'later in 2026, pending permits' with \$6M of \$204M authorized (date conf

What remains unverified

- **All prices, volumes, and the 52-week range** are vendor-sourced. Broker verification was denied to all three benches. This is the base layer of the valuation and it is not independently confirmed.
- **The rate-reduction magnitude.** The 6.5% / \$2.1M / \$1.9M / \$0.6M figures appear in the June press wire only. The filed license and its exhibit contain the tariff tiers, the 25-year exclusivity, the Aug 1 commencement, and the fact of annual July 1 adjustments — but no reduction percentage, no pro forma, and no rate-of-return cap. **A static recast of old volumes at new rates is not a forward damage estimate.**
- **The forward rate-adjustment path.** The formula that governs each July 1 adjustment is not disclosed. We do not know whether it tracks inflation, fuel, capital, or something else, and therefore we cannot model years 2–25 of a 25-year license. This is the largest unverified item in the file.
- **Whether the retail decline is weather or structure.** The company reports revenue dollars in the release; the volume line (gallons sold) is what settles it. Unread until Nov 9.
- **Aerex forward book.** Trough half is a fact; whether it is a trough or a new level is unverified. Neither bench could establish a multi-year mean with the data pulled, so the correct treatment is a range, and we do not have the range.
- **Kalaeloa economics.** \$6M authorized against a \$204M headline, permits pending, and **CWCO's own dollar share and margin are not disclosed anywhere.** We do not know what this project is worth to this company even if it proceeds.
- **Physical asset condition and capex activity.** Satellite verification of plant operation and the West Bay “future operations campus” buildout is unavailable — every site collapses to a centroid. Parcel polygons would be required.
- **Bahamas segment counterparty health.** Not examined by either bench this session.
- **Two detector entries** were skipped by one bench and cleared by the other; a spurious consumer-products tag on this issuer fired four irrelevant checks. The issuer's feature set needs cleaning before the next court.

Conviction that “no position at \$29.75” is the right call: 8/10 (both benches, independently). Conviction on the *business* being sound: high. Conviction on the *original mispricing thesis*: it was wrong, and we are saying so.

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